



Case Study on Take-Private of Connectwave

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FCRC Fall 2024, Team Babylon
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3. E-Commerce Revolution, D2C Takes Center Stage

I. Industry Overview

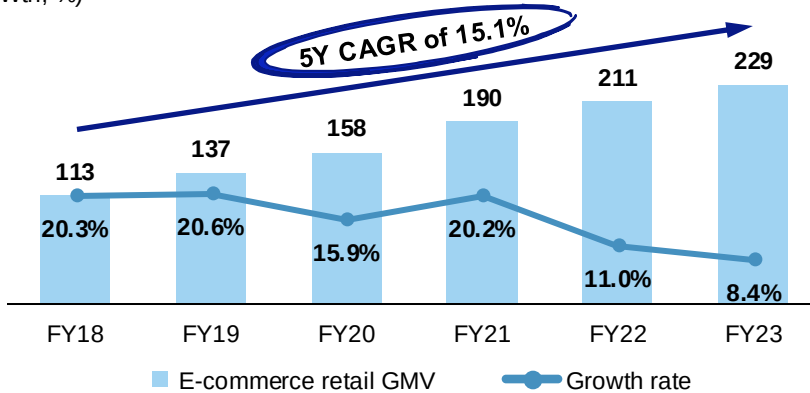
1. Domestic E-commerce Market Overview
2. Competitive Landscape

Domestic E-commerce Market Overview

Despite the recent economic slowdown, the domestic e-commerce market continues to expand at a robust CAGR of 15.1%, due to various macroeconomic factors

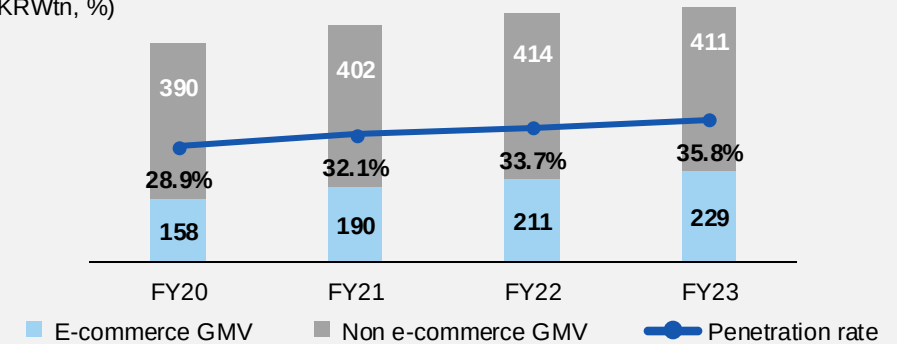
E-commerce market GMV

(KRWtn, %)



E-commerce penetration rate

(KRWtn, %)



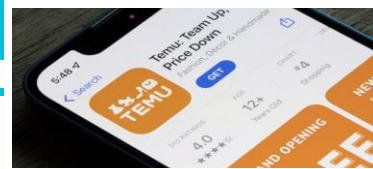
Key growth drivers

Personalized shopping



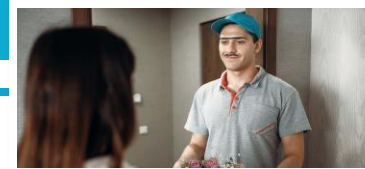
AI driven personalized shopping increases sales conversion

Rise of Chinese e-commerce



Chinese platforms offer extremely competitive pricing

Efficient logistics



Advanced fulfillment services ensure ultra-fast delivery

Growth of live commerce



Rising influencer culture is affecting live commerce growth

Competitive Landscape

The e-commerce industry is experiencing an overall slowdown in revenue growth and many have negative net income, while Connectwave is performing well despite these challenges

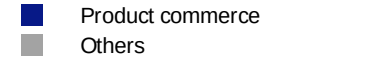
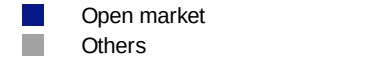
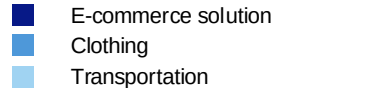
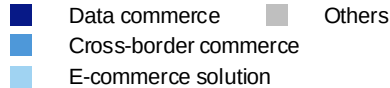
Connect Wave

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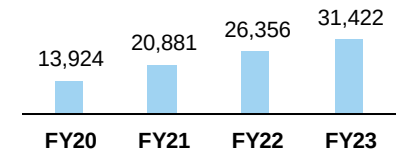
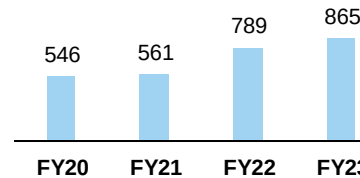
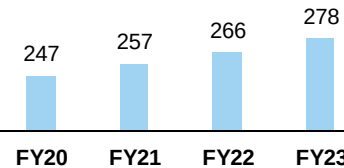
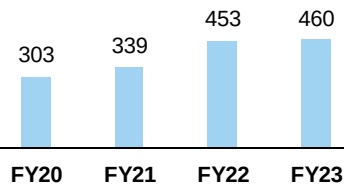
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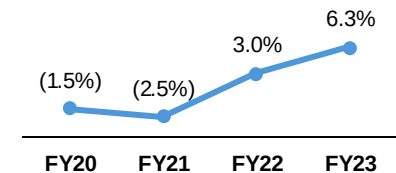
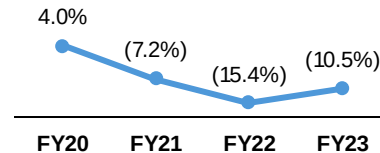
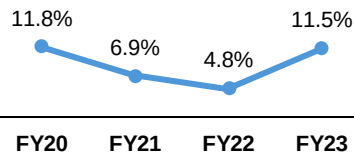
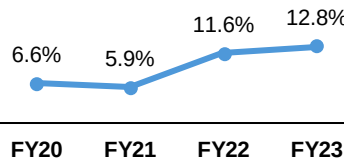
Revenue breakdown⁽¹⁾



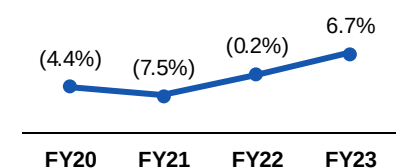
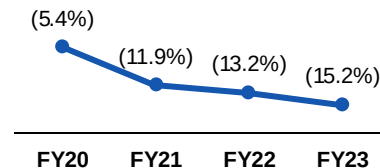
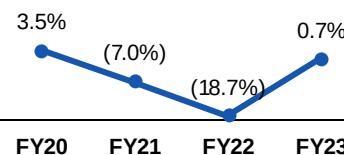
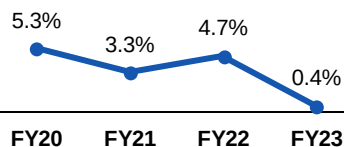
Revenue⁽²⁾



EBITDA margin



Net income margin



II. Company Overview

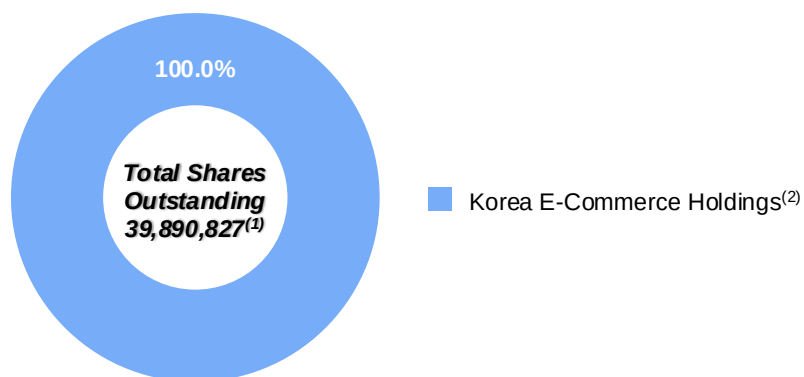
1. Company Snapshot
2. Business Overview
3. Overview of MBK's Tender Offer and Delisting

Connectwave has a diversified portfolio, expanded its data commerce revenue through the Danawa acquisition, and was recently delisted following a tender offer by MBK Partners

Company profile

- Connectwave was formed through the merger of 'Danawa' and 'Korea Center', under the ownership of private equity firm MBK Partners
- Providing precise price comparison services, Connectwave generates revenue by charging a commission based on transaction volumes
- Through platforms like 'MakeShop', Connectwave provides integrated management solutions for building and operating e-commerce stores
- Connectwave also offers cross-border e-commerce services, leveraging global logistics centers and distribution networks across 9 countries
- Connectwave is set to revolutionize the e-commerce industry with its development of 'PLAi,' a private Large Language Model ("LLM") tailored to e-commerce

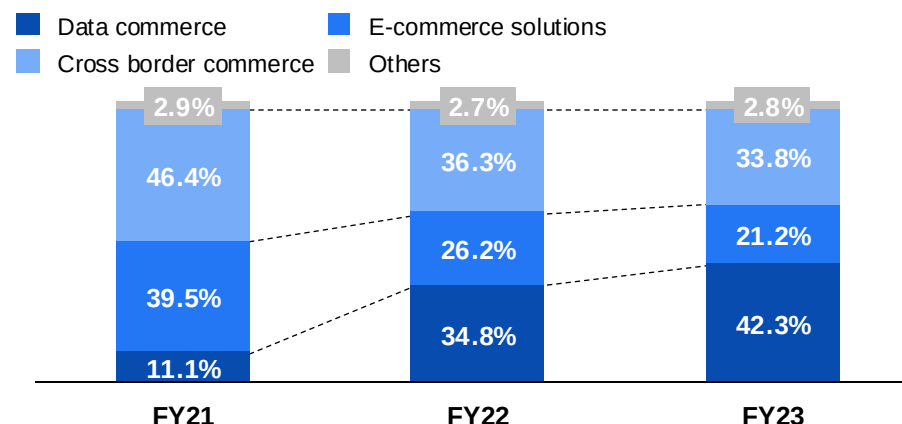
Shareholding structure



Key financials

(KRWmn)	FY20	FY21	FY22	FY23	LTM1H24
Revenue	303,015	339,451	452,615	460,268	434,973
% Growth		12.0%	33.3%	1.7%	(5.5%)
EBIT	17,169	17,409	32,398	36,489	29,903
% Margin	5.7%	5.1%	7.2%	7.9%	6.9%
EBITDA	20,120	20,159	52,686	59,114	51,611
% Margin	6.6%	5.9%	11.6%	12.8%	11.9%
Net Income	16,145	11,172	21,246	2,030	5,789
% Margin	5.3%	3.3%	4.7%	0.4%	1.3%
Total Assets	406,677	488,304	978,031	887,381	879,530
Total Liabilities	171,989	179,021	367,783	304,459	293,330
Net Debt	48,938	50,639	43,814	8,270	6,420

Revenue breakdown



Connectwave operates in three main business areas: price comparison services, shopping mall building solutions for sellers, and package forwarding services for cross border shopping

Data commerce



- Danawa and Enuri provide specialized **price comparison services**
- Through Danawa, they also supply **customized assembly PCs**
- They recognize commission revenue based on **proportion of transaction value**
- They offer **standardized product databases** to marketplaces and manufacturers

E-commerce solutions



- They provide **solution for building and operating online stores**
- Main revenue sources are **online store sellers and PG companies**
- **Monthly fees** are charged with additional commissions for optional services
- Receive **a portion of payment transaction fees** from PG companies for payments made through MakeShop-built stores

Cross border commerce

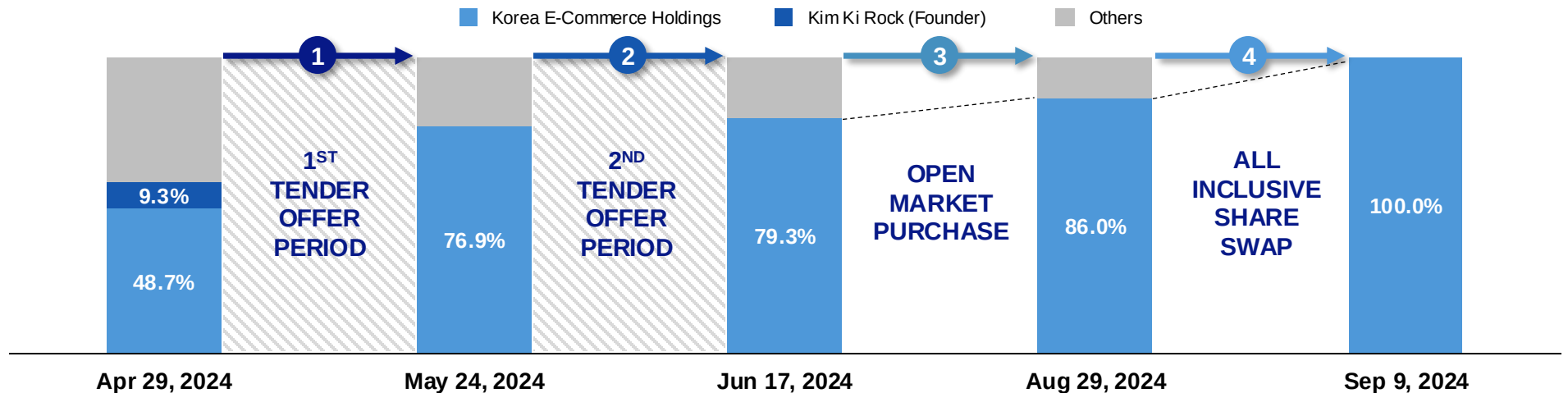


- Provide one-stop e-commerce solutions with **global logistics integration**
- Offer cross-border e-commerce through **12 logistics centers in 9 countries**
- Revenue comes from **delivery fees** when consumers use the Maltail platform
- Revenue is also from **selling sourced goods** on their platforms and other marketplace

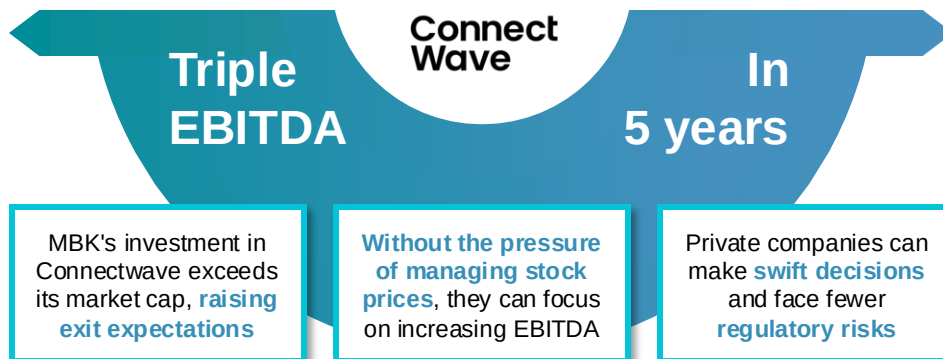
Overview of MBK's Tender Offer and Delisting

MBK has acquired 100% ownership of Connectwave through a tender offer and an all-inclusive share swap and plans to focus on tripling the EBITDA within 5 years

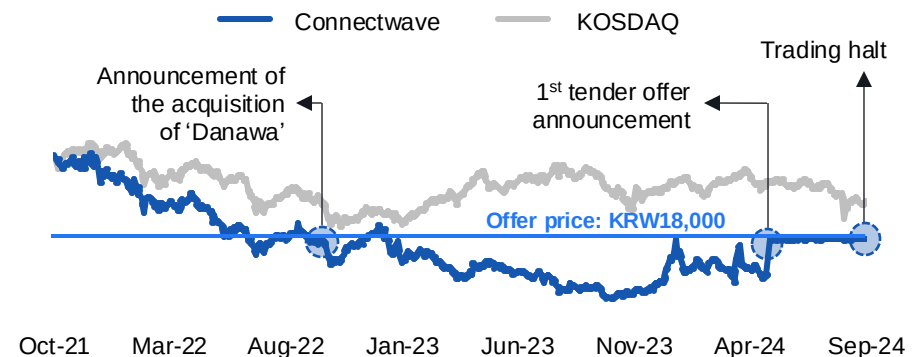
Ownership change



Delisting rationale



Stock price evolution⁽¹⁾



III. Investment Highlights

1. Skyrocketing Demand for Price Comparison Services
2. Pioneering the Industry Through Private LLM
3. E-Commerce Revolution, D2C Takes Center Stage

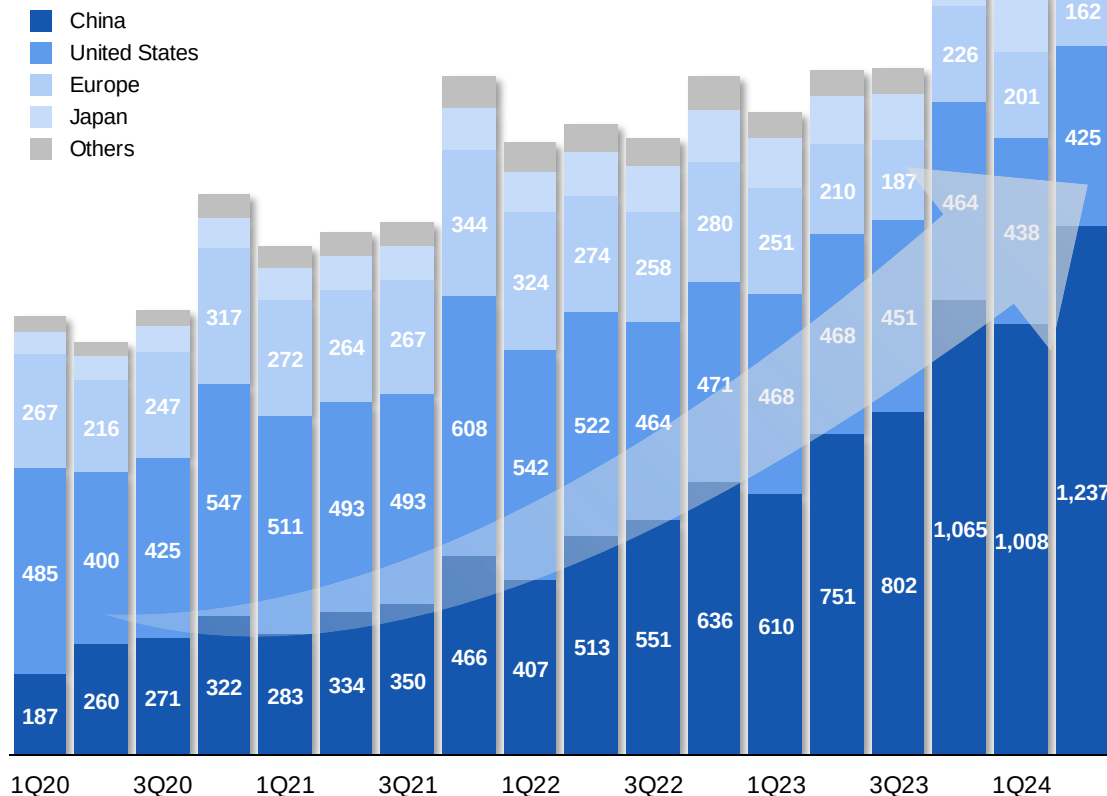
Skyrocketing Demand for Price Comparison Services

Connectwave is poised to benefit significantly from the surge in cross-border shopping from China, as the demand for price comparison services is rising, particularly for electronic products

Cross-border online shopping by country

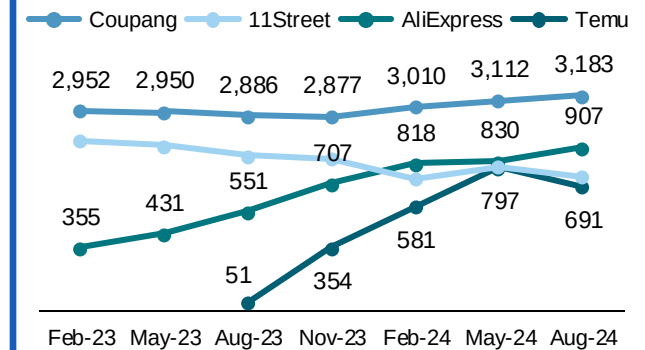
4Y 45.9% CAGR

China cross border shopping



Top 4 e-commerce platform MAU

(Unit: mn users)



① Rising demand for price comparison

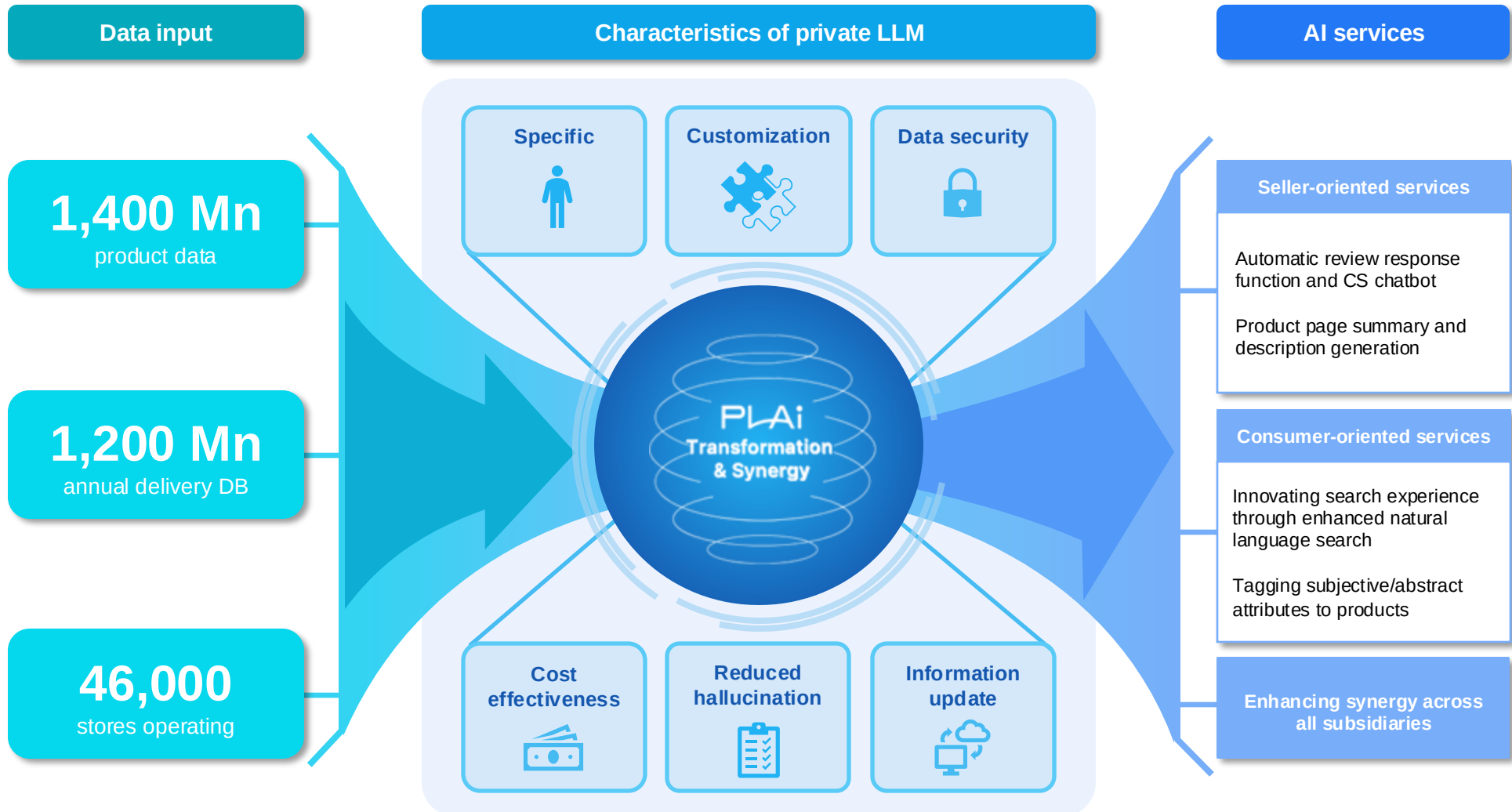
- **Aggressive discount strategies** employed by Chinese e-commerce platforms like AliExpress and Temu have significantly boosted consumer demand for price comparison services

② High proportion of electronics

- Chinese direct purchases show a strong preference for **electronic and household appliances**, which 'Danawa' specializes in

Pioneering the Industry Through Private LLM

With Connectwave's high-quality Korean e-commerce big data, they will be able to deliver the best domain-specific AI service features to customers through PLAi



E-Commerce Revolution, D2C Takes Center Stage

The megatrend of e-commerce is shifting from open market to direct consumer businesses due to various reasons, increasing the demand for e-commerce solutions services

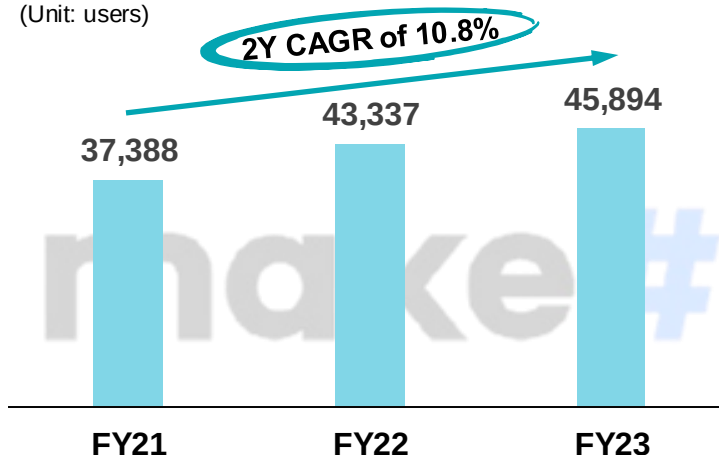
Shifting trend towards direct to consumer (D2C)



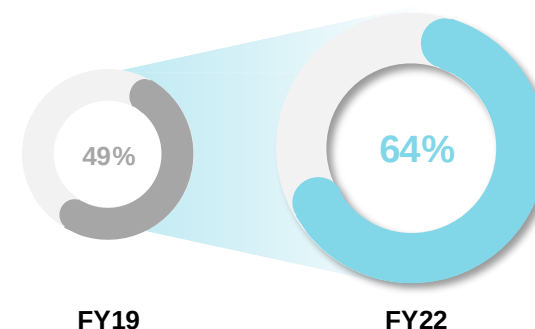
Increasing demand of shopping mall solutions

Number of sellers using 'Makeshop'

(Unit: users)



Rising regular customers of D2C brands⁽¹⁾





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